

Sega of America

In 1990, the struggling video game manufacturer Sega approached toy executive Tom Kalinske to recruit him to lead Sega of America. Sega promised Kalinske, who had successfully saved the Barbie doll for Mattel during a period of declining sales, a large degree of autonomy. Kalinske agreed to take over as president and CEO of the American subsidiary. (Nomad 2014)

Kalinske's first decision in his new role was controversial, bundling the new *Sonic the Hedgehog* game with the purchase of a Sega Genesis game console, rather than selling it separately (Helm 1992). He also cut the Sega Genesis price from \$189 to \$149, a move that would decrease profit margins (profit per console) but expand the pool of potential customers. The idea was that once families bought the console, they would be locked in, and Sega would make a large portion of its profits from subsequent game sales.

Within a year, Sega and Nintendo were engaged in the “console wars,” and the home video game industry was on its way from a niche, youth-oriented business to a mainstream entertainment powerhouse, eventually driving over \$180 billion in annual revenue—more than the music and movie industries combined.

Background

Prior to the 1980s, the video game industry primarily consisted of coin-operated games played in arcades. Sega Enterprises was born in the 1940s as a coin-operated game manufacturer based in Hawaii, distributing games to U.S. military bases across Asia. The company was sold to a Japanese firm and divided into two companies, one of which became Sega. The first Sega-branded product, the Sega 1000 jukebox, was a hit in Japan, and Sega later developed arcades in American shopping malls. In the 1980s, after watching millions of consumers' enthusiasm over Home Pong (a video table tennis game), Sega decided to enter the home video game console market. (Sega Retro)

The company initially struggled to gain traction, as Nintendo controlled 90% of the billion-dollar market in the 1980s. But Sega saw an opportunity to distinguish itself by appealing to teens and adults, rather than Nintendo's younger customer base. The Sega Genesis, a 16-bit console, was released in the U.S. in August 1989, selling for \$189.

Despite more advanced graphics, the Sega Genesis was initially outsold by the Nintendo Entertainment System (NES), an older 8-bit console that had created the modern video game industry. The NES was cheaper, carried by more retailers, and had a library of quality games, most notably the *Super Mario* trilogy.

Sega's new game, *Sonic the Hedgehog*, was designed to be the anti-*Mario*—cool, fast, with attitude. The game was released in June 1991 (with the reduced-price console) to much fanfare. That fall, Sega launched the Sega World Mall Tour to retail locations in 30 cities. The tour let consumers try the Sega Genesis for free, building goodwill in the gaming community and

demonstrating the speed of *Sonic* relative to *Mario* in a side-by-side comparison. Sega's market research showed that 85% of consumers preferred *Sonic* (Harris 2015).

By the 1991 winter holiday shopping season, Sega controlled 25% of the North American market. During this critical sales season, Sega outsold Nintendo, which had released its own 16-bit console, the Super Nintendo (SNES), in the U.S. a few months earlier, priced at \$199.

Marketing the Sega Genesis

In early 1992, Kalinske lowered the price of the Sega Genesis again, to \$129.95, and began advertising aggressively on TV, radio, and print. Sega's ads were critical of Nintendo's slower, more cartoonish *Mario* games, and Sega's commercials used a production style similar to a heavy metal music video, featuring edgy cuts and voices screaming its product ("Sega!"). Kalinske knew it was successful when he overheard children screaming "Sega!" while picking up his own children from school (Harris 2015).

Nintendo believed product quality was the best marketing and avoided mentioning its rival's name in public, but Sega continued to chip away at its market lead, positioning Sega as the company for rebels who had outgrown Nintendo.



Figure 1. Sonic 2 promotional screenshot

ArcadeImages / Alamy Stock Photo

Even *Super Mario World*, an SNES exclusive praised by critics, could not stop the slide. Nintendo tried to broaden its appeal with popular releases like *Zelda* and *Street Fighter 2*. Sega responded with *Sonic the Hedgehog 2*.

By October 1992, Sega had signed 345 retail locations for Sega's *Sonic 2* mall tour. Sega teased the public with screenshots of *Sonic 2* (Figure 1); they released four screenshots on one

Tuesday a month leading up to the launch, dubbing the campaign "Sonic 2sday." The Sega Genesis was in 13,000 stores and generated over \$500 million in sales in 1992, largely due to *Sonic 2*'s groundbreaking success.

The Sega onslaught pushed Nintendo to lower the price of its SNES Deluxe Package to \$129.95—a 50% price drop on Nintendo's console in just eight months.

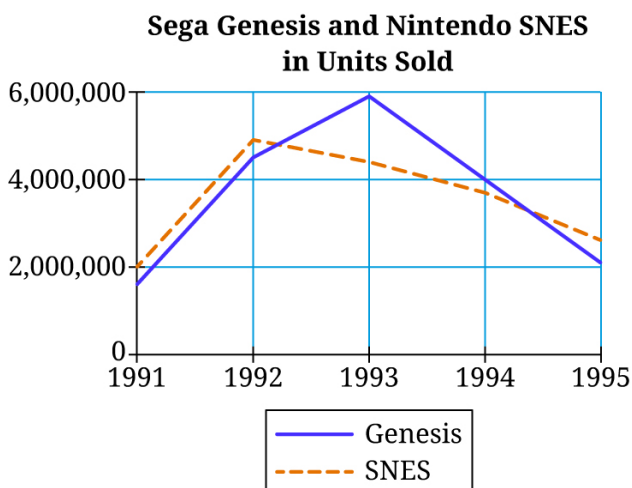


Figure 2. Game system sales, 1991-95

In 1992, for the first time, Sega and Nintendo had almost equal market share (Figure 2). Sega had a wider variety of games on the market at the time—nearly 1,000, compared to 722 for the Nintendo SNES. This was in part because independent game developers found it easier and more lucrative to work with Sega.

Another aspect of the console wars was technology. Nintendo promoted an FX chip (which allowed games to run better) and Mode 7 (better graphics) on the *Mario Kart* and *Star Fox* games. Sega responded with “blast processing,” a nonscientific term that implied speed.

Between 1991 and 1994, Sega released the Game Gear portable device, Sega CD add-on, and Sega 32X while continuing to sell the Sega Genesis. In contrast to Nintendo’s slower research and development, production, and distribution cycles, Sega emphasized coming to market first, even if some hardware was rushed.

The game that tipped the scales back in Nintendo’s favor was its launch of *Donkey Kong Country*. With more complex 3D graphics, 100 levels, and a familiar protagonist, it was the most anticipated game of 1994. More than seven million copies of *Donkey Kong Country* were sold in the first six months. Late in the console’s life cycle, Nintendo continued to churn out new hits for the SNES while developing its next generation console, the N64.

Sega continued to compete on many fronts, including price, marketing, hardware, and software, but never regained its position in the console market. The Genesis system was discontinued in the U.S. in 1997. Other systems took its place. In the 1990s, Sony PlayStation made a splash in the market, and in the early 2000s, Microsoft’s Xbox and Nintendo’s Wii console were introduced. The gaming industry continued to grow, but it was mobile and PC games (like *Angry Birds* and *Minecraft*) leading the way, with the newer market outperforming the console market by the 2010s.

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